

M/s Rajendra Auto Wheels Private Ltd. v. State of U.P.

High Court of Judicature at Allahabad · Division Bench · 26 April 2019 · Writ-C No. 14691 of 2019 · **Interim stay of HV-1 recovery pending disposal, on HV-2 deposits and security.**

HEADNOTE

Challenging rejection of a representation against unilateral change of tariff from HV-2 to HV-1, allegedly without clause 6.9(vi) of the U.P. Electricity Supply Code, 2005 and without notice to enhance contracted load, the Division Bench directed a counter-affidavit and listed the writ for admission/final disposal. Noting that the change rested on an audit objection, which “probably is not permissible in law,” it stayed coercive recovery of the enhanced amount if the petitioners deposited arrears, continued monthly HV-2 bills, and furnished security (other than cash or bank guarantee) for the HV-1/HV-2 difference.

FACTUAL SUMMARY

M/s Rajendra Auto Wheels Pvt. Ltd. and another petitioned the Allahabad High Court after the distribution licensee rejected their representation against a unilateral change of tariff from HV-2 to HV-1. They alleged that clause 6.9(vi) of the U.P. Electricity Supply Code, 2005 had not been followed and that no notice advising enhancement of contracted load had been issued. The revision was said to rest solely on an audit objection. The writ was still at the admission stage when the Court heard counsel and directed affidavits.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.9

unilateral tariff change HV-2 to HV-1

HOLDING

Pending admission/final disposal of a challenge to unilateral change of tariff from HV-2 to HV-1, allegedly without the procedure in clause 6.9(vi) of the Supply Code, 2005 and without notice to enhance contracted load, the High Court directed the licensee to file a counter-affidavit and restrained coercive recovery of the enhanced bill, provided the consumer deposited arrears, continued to pay monthly bills at HV-2, and furnished security other than cash or bank guarantee for the HV-1/HV-2 difference. It recorded that a change based only on an audit objection “probably is not permissible in law.” ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE LICENSEE FOLLOWED CLAUSE 6.9(VI) OF THE SUPPLY CODE, 2005 BEFORE CHANGING TARIFF FROM HV-2 TO HV-1

Raised in argument; merits reserved pending affidavits and final disposal. ¶ 1

NOT DECIDED — WHETHER A TARIFF CHANGE BASED SOLELY ON AN AUDIT OBJECTION IS LEGALLY PERMISSIBLE

The Court observed it “probably is not permissible in law” but did not decide. ¶ 1